

two changes—from principal to agency ownership, and the short-term holding of corporate stocks by their new owners. One of the great differentiating factors between business and professional values is the role of money. In business, it seems that there is no such thing as “enough,” while in the professions, money is, at least in the ideal, subservient to ethical standards and service to the general society.

Today, compensation of our business leaders has gone through the roof. Yet it's hard to see that the CEOs of our great corporations, as a group, have added much value to the natural growth of our economy. My own conclusion on the subject was also expressed in my book *The Battle for the Soul of Capitalism*:

In 1980, the compensation of the average chief executive officer was forty-two times that of the average worker; by the year 2004, the ratio had soared to 280 times that of the average worker (down from an astonishing 531 times at the peak in 2000). Over the past quarter-century, CEO compensation measured in current dollars rose nearly sixteen times over, while the compensation of the average worker slightly more than doubled. Measured in real (1980) dollars, however, the compensation of the average worker rose just 0.3 percent per year, barely enough to maintain his or her standard of living. Yet CEO compensation rose at a rate of 8.5 percent annually, increasing by more than seven times in real terms during the period. The rationale was that these executives had “created wealth” for their shareholders. But were CEOs actually creating value commensurate with this huge increase in compensation? Certainly the average CEO was not. In real terms, aggregate corporate profits grew at an annual rate of just 2.9 percent, compared to 3.1 percent for our nation's economy, as represented by the Gross Domestic Product. How that somewhat dispiriting lag can drive average CEO compensation to a cool \$9.8 million in 2004 is one of the great anomalies of the age.